# WARRANTY ATLAS · North Carolina (NC)

Law last amended: 2025 (eff. 2025-07-01) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-11-09

Cites: N.C. Gen. Stat. § 20-305.1; N.C. Gen. Stat. § 20-301 (Commissioner petitions); N.C. Gen. Stat. §§ 20-294, 20-308, 20-308.1

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Factory time (reasonable/adequate standard where stated) | § 20-305.1(a); see (a5) |
| **Mfr-backed service contract** | **Conditional** | Statute silent on time / not established | § 20-305.1(a) |
| **CPO warranty** | **Not addressed** | - | § 20-305.1(a) |
| **Independent service contract** | **Not addressed** | - | § 20-305.1(a) |

Hourly rate: Not less than the dealer's 'current retail labor rate'. Dealer may declare it from 100 sequential non-warranty customer-paid ROs containing warranty-like parts or 60 consecutive days of such ROs, whichever is less (within 180 days). Presumed accurate. Manufacturer may rebut within 30 days by substantiating inaccuracy. Protest goes to the DMV Commissioner.

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. dealer notified in writing of the grounds for disapproval; no denial/reduction if dealer documents a good-faith attempt to follow written procedures and that the work was actually performed | § 20-305.1(b1) |
| **Payment** | 30 days after submission. Dealer filing deadline: Silent. | |
| **Chargebacks** | 12 months; fraud: Limits 'shall not be effective in the case of fraudulent claims'. For…. Non-cause audits once per 12 months. Chargeback only if the claim was false/fraudulent, the repair was improper or unnecessary, or the claim was not reasonably substantiated. Documentation-procedure chargebacks need a repeat violation within 12 months plus a… | § 20-305.1(b), (b1), (b4), (c) |
| **Rate resubmission** | Silent. Sample: 100 ROs or 60 days (fewer of the two samples); ROs <= 180 days old. Excluded: Discounted / promotional, Insurance-paid, Engine / transmission assembly, Routine maintenance, Alignments, Tires, Prep / reconditioning, Other (see text). | § 20-305.1(a1), (a2) |
| **Mfr response** | 30 days; no response = approved: Yes. Challenge: Accuracy only: must reasonably substantiate that the submission is 'inaccurate'. Since 7/1/2025 there is no 'competitive' or market-comparison test. Forum: DMV Commissioner protest (within 30 days of proposal); manufacturer b…. | § 20-305.1(a1) (rate 'presumed to be accurate'; 'deemed app… |
| **Penalties** | Damages and equitable/injunctive relief. Punitive damages, attorneys' fees and costs if willful, malicious or wanton, or for continued multiple violations (§ 20-308.1). Commissioner petition/hearing with binding decision (§§ 20-301, 20-305.1(c)). License denial, suspension, probation or revocation for willful noncompliance with the Art… | N.C. Gen. Stat. §§ 20-294, 20-301, 20-305.1(c), 20-308, 20-308.1 |
| **Audit procedures** | Audit climate score 54/100 (Very high restrictiveness; chargeback limits 42/75 + process and oversight 12/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: yes; selection basis disclosed: yes; frequency cap: Once in any 12-month period, separately for non-c…; written reasons: no; response period: none; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: yes; rate validation: limited to the submission. | |

## Statute quotes

***Claims*** *(§ 20-305.1(b1)): "shall be paid by the manufacturer within 30 days after receipt of claim from the dealer ... Any claim not specifically disapproved in writing within 30 days after receipt shall be considered approved and payment is due immediately."*
***Chargebacks*** *(§ 20-305.1(b), (b1), (b4), (c)): "Any audit, other than an audit conducted for cause, for warranty or recall parts or service compensation ... shall only be for the 12-month period immediately following the date of the payment of the claim"*
***Rate*** *(§ 20-305.1(a1), (a2)): "may be established at the election of the dealer by the dealer submitting to the manufacturer or distributor 100 sequential nonwarranty customer-paid service repair orders which contain warranty-like parts, or 60 consecutive days of nonwarranty customer-paid service repair orders"*
***Factory time*** *(§ 20-305.1(a); see (a5)): "The disclosure required under this subsection shall include the schedule of compensation to be paid the dealers for parts, work, and service ... and the time allowances for the performance of the work and service."*

## Notes

S.L. 2025-41 made several changes. It deleted 'time allowances ... shall be reasonable and adequate' and the 'competitive' proviso, added (a5) (dealer requests to modify time allowances), and changed the rebuttal standard to 'inaccurate'. It also NARROWED 'audit conducted for cause' by deleting the statistical-outlier and documentation-violation grounds. No limit on how often a rate can be declared. Motorcycles are excluded from (a), (b), (b1), (d), (e) by (f). Component-parts manufacturers are covered by (f1). RV living-facility parts are excluded from the parts-rate rule in (b).

Source: official · https://www.ncleg.gov/EnactedLegislation/Statutes/HTML/BySection/Chapter_20/GS_20-305.1.html · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.